

rhetoric. The market sank. America's utilities were, Keynes noticed, extremely cheap in "what is for the time being an irrationally unfashionable market." He bought the depressed preferred stocks. In the next year, his personal net worth would nearly triple.

Keynes was an adviser to an insurance company, as well as manager of the Chest Fund. In a note, Keynes laid out his understanding of the quirky, contrarian nature of investing. It is "the one sphere of life and activity where victory, security and success is always to the minority, and never to the majority. When you find anyone agreeing with you, change your mind. When I can persuade the board of my insurance company to buy a share, that, I am learning from experience, is the right moment for selling it."

He also learned to hold onto his stocks "through thick and thin," he said, to let the magic of compounding do its thing (in a tax-free fashion too, by avoiding capital gains taxes). "'Be quiet'" is our best motto," he wrote, by which he meant to ignore the short-term noise and let the longer-term forces assert themselves. It also meant limiting his activities to buying only when he found intrinsic values far above stock prices.

Keynes also came to the conclusion that you could own too many stocks. Better to own fewer stocks and more of your very best ideas than spread yourself too thin. Committees and others repeatedly criticized Keynes for making big bets on a smaller number of companies. In a typically witty reply, Keynes defended his views. In this case, his critics accused him of making too large a bet on Elder Dempster: "Sorry to have gone too large on Elder Dempster. I was suffering from my chronic delusion that one good share is safer than 10 bad ones."

He rejected the idea, as Buffett and other great investors have, that you should dilute your best bets by holding a long list of stocks. At times during Keynes's career, half of his portfolio might be in only a handful of names, though he liked to mix up the risks he took. So though five names might make up half of his portfolio, they wouldn't be all gold stocks, for instance. "For his faith in portfolio concentration," Walsh writes, "Keynes was rewarded with an investment performance far superior — albeit more volatile — than that of the broader market."